

CASE ID: 202407710995

EPISODE NAME: China opens investigation over EU tariffs

2024/07/10 - 2025/07/10

Sender: China (710)

Target: European Union (995)

Issue: Trade Practices (13)

Final Outcome: Stalemate in the Threat Stage (4)

Narrative:

On 2024/07/10, China launched an investigation to assess whether European Union tariffs on products such as rail, solar, wind, and, in particular, electric vehicles constituted free trade violations.¹ The investigation was launched in response to several EU policies, including a 38% duty on EVs.²

The Chinese Ministry of Commerce's (MOFCOM) investigation was tasked with evaluating whether Chinese businesses have experienced losses in the EU market and if the EU's scrutiny of Chinese companies constitutes "trade barriers." The inquiry covered various sectors, including rail locomotives, photovoltaics, wind power, and security equipment.³

On 2025/01/09, MOFCOM found that the EU tariffs constituted a trade barrier.⁴ However, China does not appear to have imposed any retaliatory tariffs as a consequence of the investigation.

¹ Bloomberg. "China launches tit-for-tat investigation into EU trade barriers." *Bloomberg News*, 2024/07/10 <https://www.bloomberg.com/news/articles/2024-07-10/china-launches-tit-for-tat-investigation-into-eu-trade-barriers>

² Nardelli, Alberto and Jorge Valero. "EU Moves Ahead With Provisional Tariffs on China EV Imports." *Bloomberg News*, 4 Jul 2024. <https://www.bloomberg.com/news/articles/2024-07-04/eu-moves-ahead-with-provisional-tariffs-on-ev-imports-from-china>

³ He, Laura. "China examining if EU is putting up 'trade barriers' as tensions intensify." *CNN*, 2024/07/10, <https://www.cnn.com/2024/07/10/business/china-eu-probe-trade-barriers-intl-hnk/index.html>

⁴ Han, Michael. "Unequal playing field: China's Ministry of Commerce concludes that EU Foreign Subsidy Regulation prevents Chinese entry and competitiveness." *Fangda Partners*, 2025/01/15, <https://www.fangdalaw.com/wp-content/uploads/2025/01/MOFCOM-decision-re-FSR-trade-barrier-investigation.pdf>